EXECUTIVE SUMMARY

A. Introduction

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

The audit covered the accounts and operations of the Municipality of Gonzaga for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017 were P492,632,754.13, P84,586,648.42 and P408,046,105.71 with an increase in assets and government equity of 7.11% and 10.14%, respectively, and decrease in total liabilities of 5.42%, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P186,798,684.52 and P154,702,893.96 which increased by 14.40% and 15.23%, respectively, from last year's figures.

	2017	2016	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	492,632,754.13	459,896,514.49	32,736,239.64	7.12
Liabilities	84,586,648.42	89,429,407.29	(4,842,758.87)	(5.42)
Government Equity	408,046,105.71	370,467,107.20	37,578,998.51	10.14
Financial Performance				
Income	186,798,684.52	163,279,075.64	23,519,608.88	14.40
Expenses	154,702,893.96	128,653,985.16	26,048,908.80	20.24
Appropriations, Allotments and Obligations				
Appropriations-Current	206,243,016.91	179,111,524.00	27,131,492.91	15.15
Appropriations-Continuing	34,672,230.07	16,987,010.28	17,685,219.79	104.11
Allotments-Current	206,243,016.91	179,111,524.00	27,131,492.91	15.15

Allotments-Continuing	34,672,230.07	16,987,010.28	17,685,219.79	104.11
Obligations-Current	170,422,339.23	129,673,103.98	40,749,235.25	31.42
Obligations-Continuing	12,416,218.39	7,181,545.69	5,234,672.70	72.89

Comparative Statement of Fund Transfers from NGAs, other LGUs, and Non-Government Organizations/People's Organizations are detailed below:

	2017	2016	Increase (Decrease)
Funds Transferred from Other Agencies:			
Fund transfers from NGAs	41,017,195.60	12,633,880.96	28,383,314.64
Fund transfers from other LGUs	1,000,000.00	0.00	1,000,000.00
TOTAL	**42,017,195.60**	**12,633,880.96**	**29,383,314.64**
Funds Transferred from NGOs/POs			
Fund transfers from NGOs	0.00	0.00	0.00
Fund transfers from POs	0.00	0.00	0.00
TOTAL	**0.00**	**0.00**	**0.00**

C. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P251,957,512.81 (net of depreciation) could not be ascertained due to failure of the Management to conduct physical inventory of all LGU's properties and lack of property equipment ledger cards. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said accounts.

D. Summary of Significant Audit Observations and Recommendations

1. The annual GAD Plan and Budget (GPB) for CY 2017 amounting to P15,681,500.00 was not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-001, thus, identified programs, projects and activities cannot be ascertained whether it is in response with the gender issues and concerns of the locality.

   We recommended that Management comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget.

2. Disbursements made on the Construction of the Evacuation Center amounting to P7,397,007.98 were not supported with required supporting documents in violation of Section 4(5) and (6) of PD 1445 and COA Circular No. 2012-01

dated June 14, 2012, thus casting doubt on the validity, propriety and legality of the transactions.

We recommended that the Municipal Accountant ensures that the supporting documents are complete before effecting payment to prove the validity, propriety and legality of the claim pursuant to existing law, rules and regulations. Moreover, she must submit the lacking documents and to comply with the other deficiencies noted to avoid audit suspension/disallowance of the transactions.

3. Loans Payable-Domestic account amounting to P950,000.00 remained outstanding for more than 10 years which casts doubt as to the accuracy and reliability of the account reported at year-end due to inadequacy of supporting documents.

   We recommended that Management make representation with the PGC for the immediate settlement of the loan. We also require management to submit a copy of the Memorandum of Agreement with the Provincial Government of Cagayan in order for the audit team to review and verify the accuracy and reliability of the account reported at year-end.

4. Monthly Reports on the Sources and Utilization of the Local Disaster Risk Reduction and Management Fund (LDRRMF) for CY 2017 were not submitted to the Auditor contrary to Section 5.1.5 of COA Circular No. 2012-02 dated September 12, 2012, thereby precluding the auditor from verifying the propriety of charges against the fund.

   We recommended that Management direct the concerned officer to submit Report on Sources and Utilization of DRRMF, prepared and certified correct by the Municipal Accountant as provided in the prescribed format, on or before the 15th day after the end of each month, through the LDRRMC and LDC, to the COA Auditor of the Municipality.

E. Summary of Total Suspensions, Disallowances and Charges

There are no unsettled Suspensions and Disallowances as at December 31, 2017.

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	571,351.70	-	571,351.70	-	100%
Current Year	-	-	-	-	
Total	-	-		-	100%

Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the thirteen (13) audit recommendations embodied in the 2016 Annual Audit Report, three (3) were fully implemented, eight (8) were partially implemented and two (2) were not implemented as of December 31, 2017.